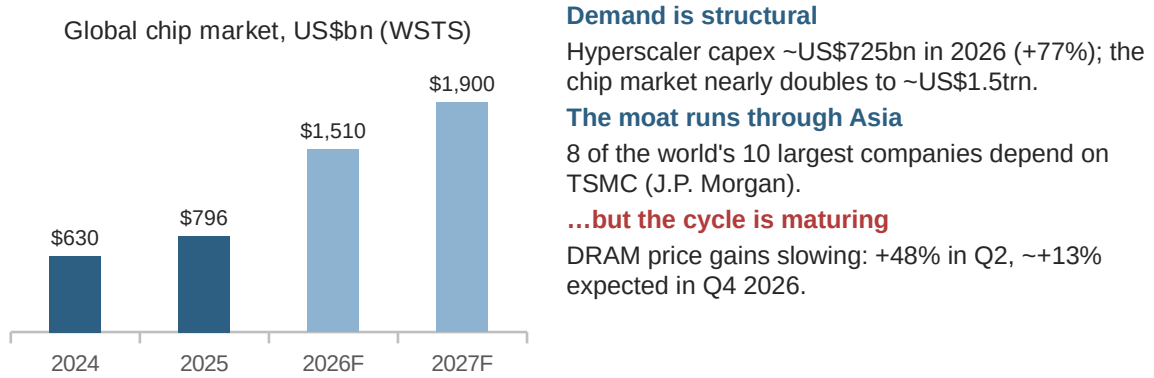


Investment thesis 1: Asia controls AI's hardware bottlenecks

The theme: structural demand for Asian chips, memory and tools, traded in markets that are concentrated, fully priced and violent

1a Demand is structural, and it runs through Asia



~70%

Taiwan makes the chips: TSMC's share of global foundry revenue; TSMC is >40% of TAIEX.
→ **Taiwan is the single largest AI chokepoint**

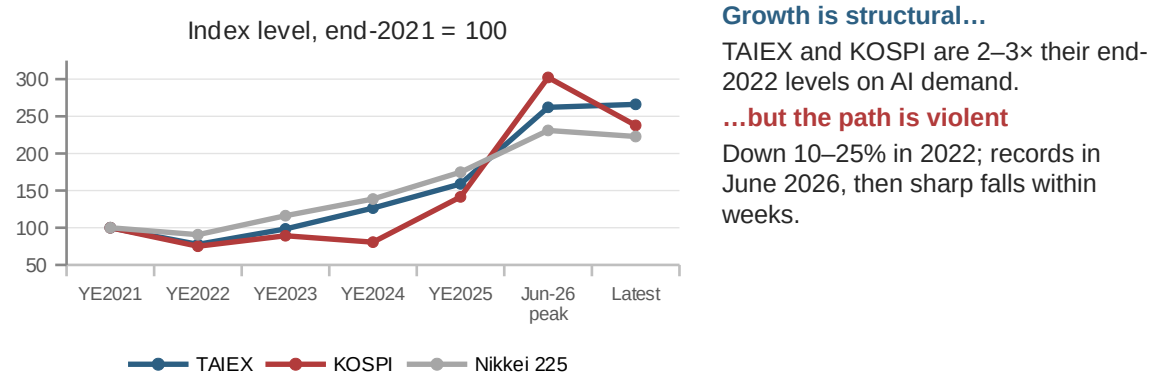
83%

Korea makes the memory: SK hynix + Samsung share of HBM, the memory every AI accelerator needs.
→ **No AI accelerator ships without Korean memory**

~55%

Japan makes the tools: Advantest's share of chip test equipment; with Tokyo Electron ~ 20% of the Nikkei.
→ **Every new fab needs Japanese tools**

1b A strong theme on a violent path



–25%

Round trips happen fast: KOSPI went from 9,000+ in June to 6,789 on 28 Aug 2026, in about ten weeks.
→ **Entry timing is hard; drawdowns are deep and quick**

>40%

Returns hinge on a few names: TSMC >40% of TAIEX; Samsung + SK hynix ~48% of KOSPI; ~92% of advanced chips from Taiwan.
→ **Single-name risk is high**

38.6×

Valuations price in a lot: Nikkei CAPE 38.6×; Taiwan among the most expensive markets; DRAM gains slowing.
→ **Upside from here is less certain than the theme**

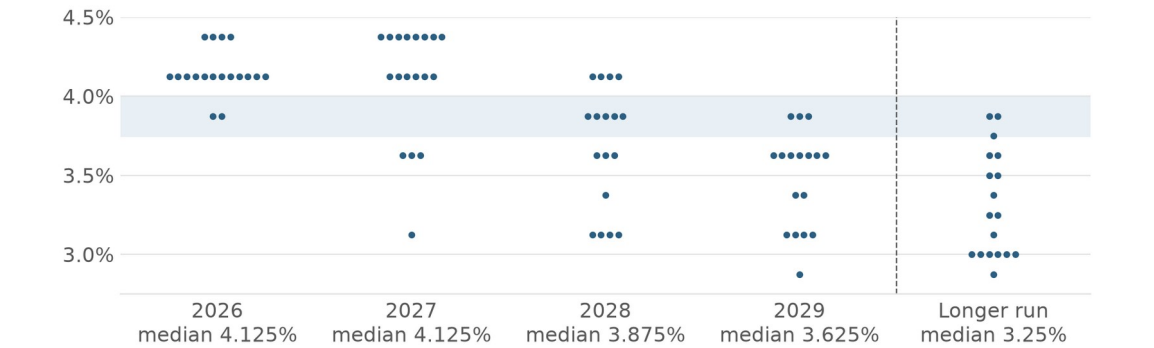
Whichever AI company wins, it needs Asia's chips, memory and tools, but the path to owning them is violent.

Sources: WSTS; company capex guidance; Counterpoint (foundry, HBM); TrendForce (DRAM); industry research (test equipment); J.P. Morgan AWM 2026 Outlook; TWSE, KRX, Nikkei (index levels); FN News, BIT Research (KOSPI); Sibilis (CAPE). Full list: deck/thesis_sources.md.

Investment thesis 2: Rates stay high and volatility is at records

The backdrop for the next five years: the Fed holds rates high, bonds carry rate risk, and Asian equities swing harder than ever

2a The Fed holds rates high for longer



FOMC dot plot, 16 Sep 2026 (shaded: today's 3.75–4.00%). Dots read from the Fed's chart.

4.125%

FOMC median to end-2027, cuts deferred to 2028: 12 of 18 dots at 4.125% for 2026; 4.375% seen by 4 for 2026 and 8 for 2027.
→ Rate risk is structural, not a one-off

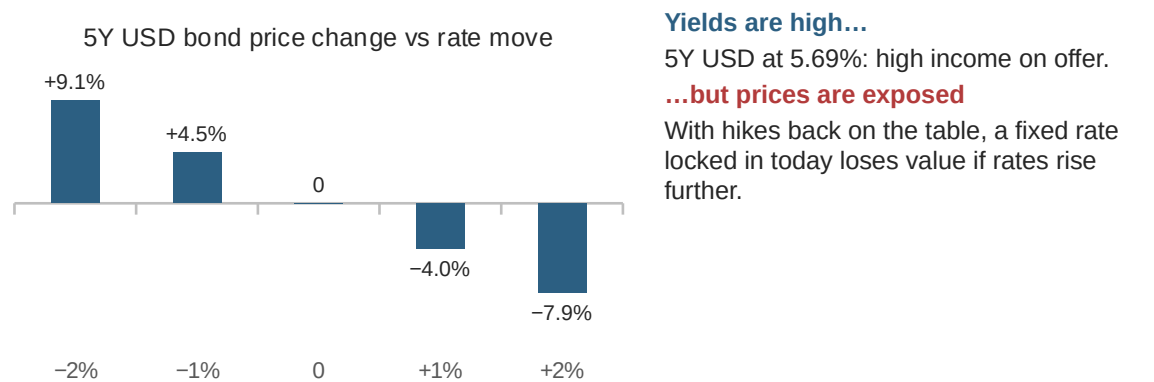
+0.25%

The Fed is hiking again: 16 Sep 2026: to 3.75–4.00%, the first hike since 2023.
→ The easing cycle is over for now

~87%

Markets price more: probability of at least one further hike priced by fed funds futures.
→ Risk to rates is still to the upside

2b Bonds carry rate risk, equities swing hard



-4.0%

Long bonds carry rate risk: a 5-year bond loses ~4.0% per 1% rise in rates.
→ Duration is a risk, not a hedge, in this cycle

91.2

Volatility is at records: VKOSPI closed at an all-time high of 91.2 (9 Jun 2026), above the 2008 peak.
→ Option-implied risk in Asian equities is extreme

-8.95%

Single days move markets: KOSPI's one-day fall on 13 Jul 2026; J.P. Morgan expects a 10–15% correction in 2026.
→ Buy-and-hold must sit through deep drawdowns

Rates stay high for longer and Asian equity volatility is at records: neither bonds nor buy-and-hold are a comfortable place to sit.

Sources: Federal Reserve SEP (16 Sep 2026, dots read from chart); Federal Reserve via Advisor Perspectives; fed funds futures; case USD funding grid (5Y 5.69%); standard bond maths; Herald / SBS (VKOSPI); FN News, BIT Research (KOSPI); J.P. Morgan AWM 2026 Outlook.